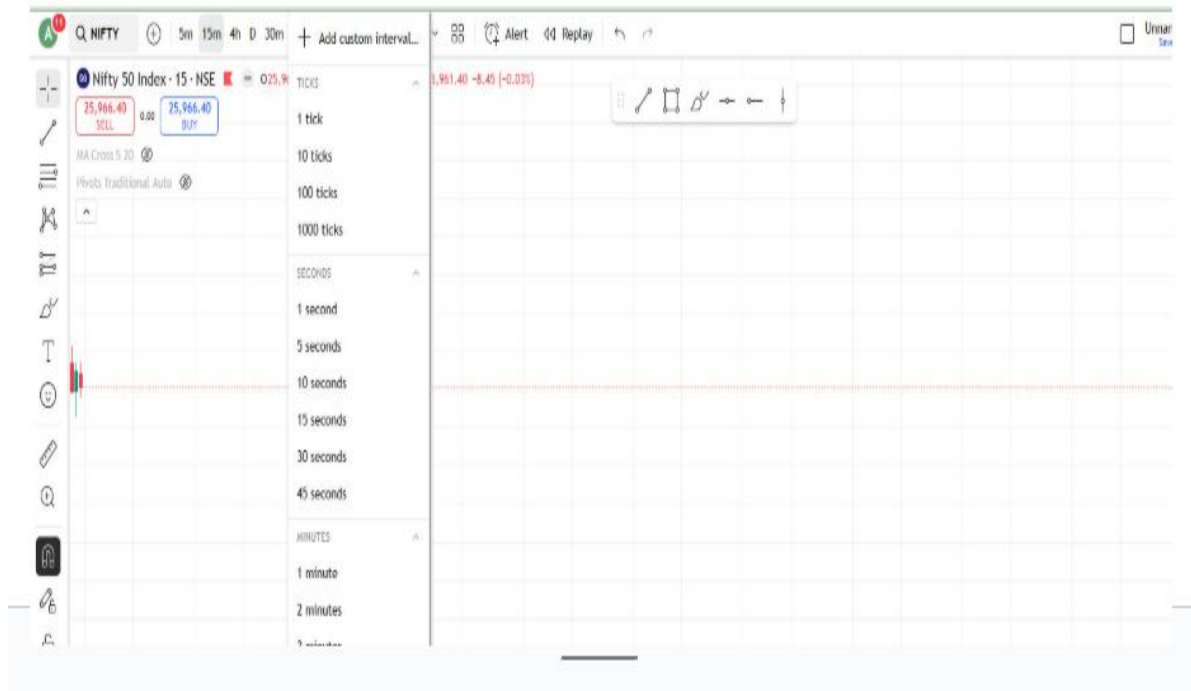


MULTI - TIMEFRAME ANALYSIS

Multi - Timeframe Analysis

- Multi-timeframe analysis is a trading strategy that examines the same asset across various chart periods, like monthly, daily, and hourly, to grasp overall trends, confirm signals, and sharpen entry/exit points.
Top-down analysis refines this by starting from the highest timeframe to spot the main trend and key levels, then drilling down to lower ones for precise setups and trades. This approach aligns your decisions with the bigger market picture while minimizing noise from shorter charts.



What Is Time Frame ?

- A timeframe in trading is the specific time interval used to construct each candlestick on a chart, aggregating Open, High, Low, and Close (OHLC) data for that period. It determines the trading horizon and perspective - longer frames filter noise for trends, shorter ones reveal granular price action.

Commonly Used Time Frames

Day Trading (Intraday)	Swing Trading	Long - Term Investment
5m	1H	1D
15m	4H	1W
30m	1D	1M

Importance of Using Commonly Used Time Frames

- Using **commonly used time frames is important because most traders are watching the same charts.**
- This creates **better liquidity, clearer price action, and more reliable signals.**
- **When many traders use the same time frames:**
 - Support and resistance levels work better
 - Breakouts and reversals are more trustworthy
 - Indicators give cleaner signals

- Uncommon or random time frames may show **confusing or weak signals** because fewer traders follow them.
- Stick to commonly used time frames for **clarity, consistency, and discipline** in trading.

Concept of Multi-Time Frame Analysis (MTFA)

- Multi-time frame analysis means **analyzing the same market using more than one time frame** to make better and more accurate trading decisions.

Core Idea

- **Higher time frame** → shows the overall market trend and key levels
- **Lower time frame** → helps with precise entry and exit timing

Key Principle

- Always **trade in the direction of the higher time frame** and use the lower time frame only for execution.

Concept of time frame Top - Down Analysis

- Top-down analysis means **analyzing the market from a higher time frame** to a lower time frame, step by step, before taking a trade.

How it works

- Start with the **Higher Time Frame (HTF)** → identify the main trend
- Move to the **Medium Time Frame (MTF)** → observe structure and setup
- Go to the **Lower Time Frame (LTF)** → take entry and manage the trade

Concept of time frame Top - Down Analysis

Note :-

- Higher time frame gives **direction**.
- Lower time frame gives **execution**.
- Trades taken in the **direction of the higher time frame** have higher probability and better consistency.

Key Benefits of Top - Down Analysis

1. **Higher Probability Trades** – Trading in the direction of the higher time frame increases the chance of success.
2. **Clear Trend Identification** – Helps spot the overall market trend before taking a trade.
3. **Better Entry and Exit** – Lower time frames allow precise entries, stop-loss, and target placement.
4. **Reduced Noise and False Signals** – Aligning trades with HTF filters out random price fluctuations.

5. **Discipline and Consistency** – Encourages structured, methodical trading decisions.
6. **Flexible for All Trading Styles** – Works for intraday, swing, and long-term positional trades.
7. **Improved Risk Management** – Trading with the trend reduces the chance of counter-trend losses.

Common Time Frame Combinations in Trading

Here are widely used combinations for multi-time frame analysis based on trading style:

Trading Style	Higher Time Frame (Trend)	Medium Time Frame (Structure)	Shorter Time Frame (Entry)
Long-term Investor	Monthly	Weekly	Daily
Swing Trader	Weekly or Daily	Daily or 4 - hour	1 - hour or 15 - minute
Day Trader	Hourly or 4 - hour	15 - minute	5 - minute

Top-Down Analysis – What to Analyse

1. Higher Time Frame (HTF)

- Overall trend – bullish, bearish, or sideways
- Market structure – higher highs/lows or lower highs/lows
- Major support and resistance levels
- Key zones / supply-demand areas
- Previous candle – shape, size, and position
- Price action signals – pin bars, engulfing, rejection wicks
- Trend strength & bias – decide directional bias

Top-Down Analysis – What to Analyse

2. Medium Time Frame (MTF)

- Confirm trend and market structure seen on HTF
- Identify potential setups aligned with HTF trend
- Check minor support and resistance levels
- Observe price action signals for entry timing

Top-Down Analysis – What to Analyse

3. Lower Time Frame (LTF)

- Pinpoint precise entry points
- Determine stop-loss and target levels
- Confirm micro trend in direction of HTF
- Observe short-term price action signals for execution
- Let me give you an example to help you understand why it is important to adopt the top down analysis concept in your trading method and what is going to happen if you don't look at the bigger time frame before switching to your primary chart.



- As you can see in this weekly chart above, we have gathered two important points that will help us decide what to do on the daily time frame.

- The first point is that the market approaches to an important weekly resistance level that will represent a hot point in the market.
- The second information is the rejection from this key resistance level, as you can see the price was rejected immediately when it approaches the level, this indicates that there are sellers there and they are willing to short the market.

- What confirms our analysis is the formation of the inside bar false breakout patterns that indicates a reversal.
- Now let's switch to the daily time frame to see what is going on in the market:

**WEEKLY
TIME FRAME**

The Major Weekly Level



- On the daily chart, we have a clear pin bar candlestick pattern that indicates a bullish signal. if you focus just on one-time frame to make your trading decision
- You will buy the market, because there is a clear pin bar signal.
- But if you analyzed the weekly chart, you would know that there is a very powerful key level that will stop the market from going up. So, it's better to think of selling the market if there is a clear signal rather than to buy it.
- Look at what happened next:



THANK YOU